

see in later chapters, the risk-reducing nature of absolute and dual momentum can help make this goal a reality.

Since bonds have performed well over the past 30 years, many investors may have forgotten that the last bond bear market lasted all the way from 1946 to 1981. It culminated in intermediate Treasury yields rising to over 15%. [Figure 5.3](#) shows where we are now in relation to the long-term history of the bond market, as per the Robert Shiller website.⁶



Figure 5.3 Ten-Year U.S. Treasury Yields, 1871–2013

Given the way that bond prices move inversely to interest rate changes, intermediate-term bonds could lose half their value if their annual yield rises to their long-run average rate of 6.75%. One should keep in mind that real Treasury bond returns were negative for the next 45 years following similar valuation levels as exist today.